Extract 3: Supermarkets in Singapore

In 2020, Singapore had around 580 supermarkets. Table 2 shows the market share of these supermarkets.

Table 2: Percentage of total Singapore supermarket sales, 2020

Supermarket	% market share
NTUC FairPrice	41.1
Sheng Siong	26.6
DFI Retail Group* (Dairy Farm International)	21.5
Prime Supermarkets	3.7
U Stars Private Limited	3.1
Others	4.0

**DFI Retail Group operates supermarkets including Giant, Cold Storage and Jason Market Place.*

In addition, year-on-year Singapore supermarket sales increased by 2.5% to 3.5% over the period 2010 to 2019. In 2020, sales growth was exceptionally high, at almost 30%, due to the effects of Covid-19 on lifestyles and panic buying by many residents. In 2021, year-on-year sales growth fell back to 4.5%. It was forecast that sales growth would return to pre-pandemic levels in 2022.

Source: Euromonitor, February 2021

Extract 4: The Competition and Consumer Commission of Singapore (CCCS)

The CCCS is a regulatory body with the following functions:

- to maintain and enhance efficient market conduct and promote overall productivity, innovation and competitiveness of markets in Singapore
- to eliminate or control practices that have an adverse effect on competition in Singapore
- to promote and sustain competition in markets in Singapore
- to promote a strong competitive culture and environment throughout the economy of Singapore.

In applying these functions, CCCS regulations allow companies to notify the regulatory body of a merger or anticipated merger. Parties may do so 'if they have serious concerns as to whether the merger or anticipated merger has led to or may lead to a substantial lessening of competition'.

The CCCS is unlikely to intervene in a merger situation **unless**:

- the merged entity has or will have a market share of at least 40% **or**
- the merged entity will have/has a market share of between 20% and 40% **and** the post-merger combined market share of the three largest firms is at least 70%.

Source: cccs.gov.sg/about-cccs, January 2022

Extract 2: The basic principles of 'Abenomics'

Abenomics is a commonly used term for the economic policies attributed to Japan's former prime minister, Shinzo Abe. These policies have been applied by the Japanese government since 2012 as a way of transforming the economy after two decades of minimal economic growth and deflation. These policies defy many macroeconomic conventions.

Abenomics has three so-called 'arrows':

Monetary policy
The BoJ engages in massive quantitative easing and sets negative interest rates. In contrast, the United States (US) Federal Reserve has tightened its monetary policy by pushing up interest rates. Many economists believe that this difference is a key reason for the depreciation of the yen against the US dollar. They also claim that Abenomics principles have had some success in raising Japan's inflation rate above its 2% target.

Fiscal policy
There have been moderate increases in Japan's consumption (sales) taxes. For example, the general rate changed from 5% to 8% in 2014 and from 8% to 10% in 2019. These increases were unpopular with consumers. Government debt has continued to increase; Japan now has one of the largest debt to GDP ratios in the world. Budget deficits have been the norm, with the need to increase government spending to combat the effects of the pandemic.

Structural reform
Structural reforms have been limited, especially in relation to the labour market. The economy has experienced a considerable loss of industrial capacity as many leading Japanese companies have preferred to invest abroad, particularly in neighbouring countries, but also elsewhere where labour costs are much lower. Japan's rigid labour market regulations, such as providing lifetime employment for full-time workers, restricts job opportunities for young people and women in the service sector. The result is that well-qualified young people often have little alternative but to take low-paid jobs in shops, hotels, restaurants and bars. Further structural problems include coping with a declining yet ageing population that requires additional government spending on health, social care and pensions.

At best, Abe's economic legacy can therefore be considered a glass half full.

Source: Adapted from García Herrero A. Shinzo Abe's economic legacy: a glass half full, Brusgal, 15 September 2022

Extract 3:

Content (from *Japan's inflation hits 8-year high in test of BOJ's dovish policy*; Reuters, 2022) removed due to copyright restrictions.

Question 1: Supermarkets in the United Kingdom (UK) and Singapore

Extract 1: UK supermarkets face uncertain times

Supermarkets sell a wide range of food, drink and non-food household essentials which shoppers purchase on a regular basis. Over the last 40 years, UK large retailers such as supermarkets have grown in size, with large car parks to accommodate the regular weekly flows of shoppers. In residential areas, smaller convenience stores, often owned by the supermarkets, provide an additional service to meet the needs of residents. In 2021 there were an estimated 7 500 supermarkets and over 40 000 local convenience stores in the UK.

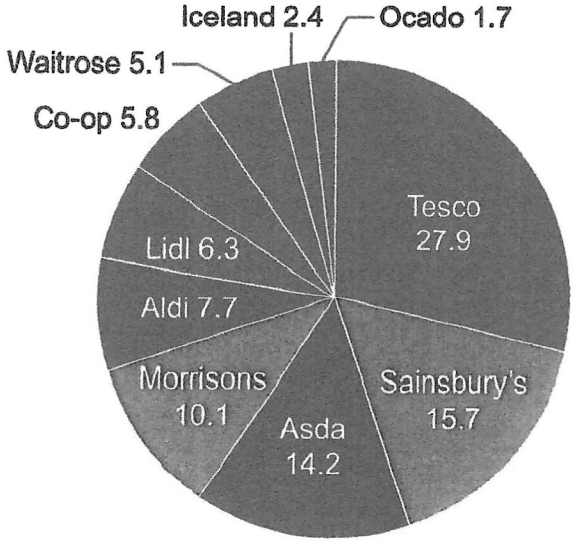
The most recent trend, accelerated by the Covid-19 pandemic, has been that many shoppers have turned to online shopping from the comfort of their own homes. Mobile devices can be easily used to order groceries and other items from supermarkets. It is now possible to order 'top up' supplies and take-away food through mobile devices for rapid delivery through on-demand apps often from local stores owned by supermarkets. Table 1 shows that the total retail grocery sales will continue to grow from 2021 to 2026.

Table 1: Forecast retail grocery sales in the UK, 2021 to 2026

Year	2021	2022	2023	2024	2025	2026
Forecast total retail grocery sales (£ billions)	212	214	216	220	224	229
Online sales as % of forecast total retail grocery sales	10.5	10.6	10.8	11.2	11.4	11.7

The degree of concentration in the market has increased dramatically over the last 20 years. This has come about through a series of mergers and acquisitions. As a result, the market in 2022 is dominated by Tesco alongside significant market shares for Sainsbury's, Asda and Morrisons (see Figure 1). Other firms have entered the market, notably Aldi and Lidl, both German-owned. They have had a big impact on the market and now compete nationally with the established companies. Amazon Fresh, a company based in the United States (US) is a more recent entrant into the UK market.

Figure 1: Percentage* of the UK's retail grocery market sales for 12 weeks to 26 December 2021



**Figures do not add up to 100% due to rounding*

MINISTRY OF EDUCATION, SINGAPORE
in collaboration with
CAMBRIDGE ASSESSMENT INTERNATIONAL EDUCATION
General Certificate of Education Advanced Level
Higher 2

ECONOMICS

9570/01

Paper 1

October/November 2025

2 hours 30 minutes

No Additional Materials are required.

READ THESE INSTRUCTIONS FIRST

An answer booklet will be provided with this question paper. You should follow the instructions on the front cover of the answer booklet. If you need additional answer paper ask the invigilator for a continuation booklet.

Answer **all** questions.

The number of marks is given in brackets [ ] at the end of each question or part question.